

2 Economics content

1: Microeconomics and Business Economics	9
2: Macroeconomics and the Global Economy	21

Paper 1: Microeconomics and Business Economics

Externally assessed

Content description

You will start by learning about basic economic problems. All resources are scarce and therefore limited in supply. Consumers, firms and governments all have to make choices between different products and these choices will introduce you to the concept of opportunity cost.

Microeconomics is the study of individual markets. You will learn about the supply and demand model, which will give you a toolkit to explore how changes in the economy will affect supply, demand, price and quantity. The model will help to explain why prices rise and fall, for example enabling you to explain the changes in oil, house, gold and cocoa prices. You will look at how much the quantity supplied and demanded will respond to changes in price or income, which will help you to understand why some price changes see large or small changes in quantity.

Having looked at how markets work, you will look at how they sometimes fail. In some cases we overconsume as we ignore negative impacts on others, for example pollution. In other cases we underconsume as we might undervalue the benefits our education could bring to others.

You will then move on to studying business economics. You will look at what is needed to produce goods and services, including land, labour, capital and enterprise. You will look at how businesses can organise production to improve the output per worker, which we call productivity. You will study business costs, revenues and profits. You will then explore different types of businesses, from those that are competitive to single firms that we call monopolies, and also those industries with several large firms, which we call oligopolies. In each case you will consider the advantages of the types of business that exist.

Sometimes markets and businesses do not give the best outcome for people and so governments have to enter the market. You will look at the alternative ways in which they can affect markets, considering the benefits and drawbacks of each.

Assessment information

Examination of 1 hour and 30 minutes, set and marked by Pearson.

Single tier of entry.

The total number of marks available is 80.

The examination paper consists of four compulsory questions, each worth 20 marks. The questions are a mixture of multiple-choice, short-answer, data response and open-ended questions.

Each question will be based on a particular topic from the subject content related to microeconomics and business economics. Due to the nature of economics, there is some interrelation between topics.
